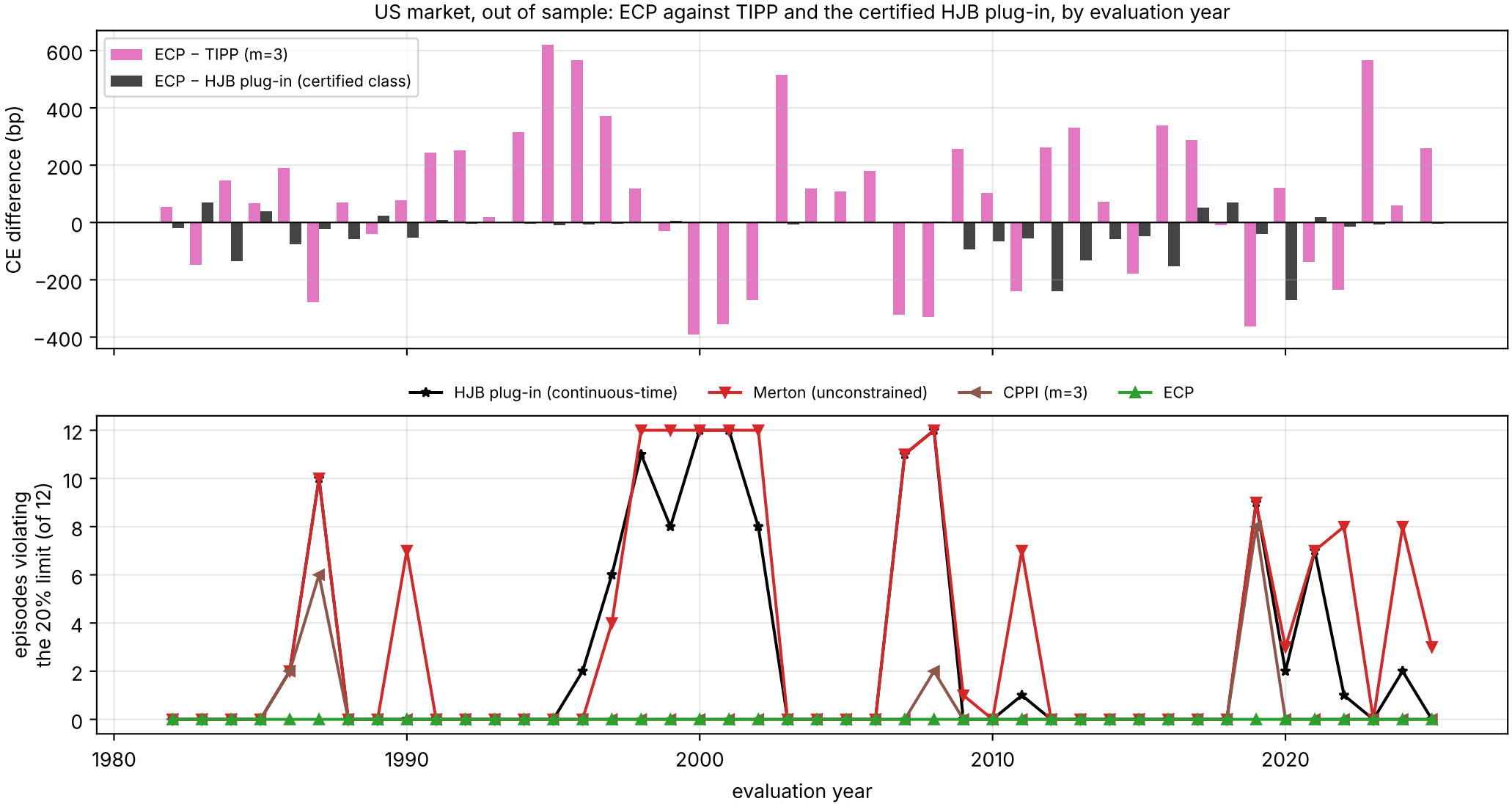
US market, out of sample: ECP against TIPP and the certified HJB plug-in, by evaluation year
ECP − TIPP (m=3)
ECP − HJB plug-in (certified class)
CE difference (bp)
600
400
200
0
−200
−400
HJB plug-in (continuous-time)
Merton (unconstrained)
CPPI (m=3)
ECP
episodes violating
the 20% limit (of 12)
12
10
8
6
4
2
0
1980
1990
2000
2010
2020
evaluation year